GMS WEEKLY

Your Source for Recycling News

December 20th, 2024
Week 51
Volume 267, Issue 1165

Highlights:

- **Encouraging.**
- **Price cool.**
- **Big year coming.**
- **Elections done.**
- **Bangla turmoil.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"The mark of greatness is when everything before you is obsolete, and everything after you bears your mark."

– Dave Chappelle

-- MARKET COMMENTARY --

CHANGE AHEAD!

As the world stands teetering on the edge of completing another circle around our sun, economies worldwide continue to struggle amidst a greater prevailing unease. On the back of a strengthening U.S. economy that saw the U.S. Feds cut another 0.25% in interest rates this week, the U.S. Dollar continued to make the present, a testy time for most ship recycling nations as respective currencies continue to either not trade (on account of a lack of available domestic reserves) or continue to lose ground against a firming Dollar. Stresses around U.S. oil production that spiked the barrel price on account of fears that Hurricane Rafael in the U.S. Gulf would disrupt production. Notwithstanding, the far less fearful outcome has helped maintain current levels of output, easing at USD 70.38/barrel by the end of the week. Domestic disappointment over China's recent stimulus measures to help easing local government debt strains failed to garner the desired outcome, seeing growing concerns from Chinese businesses and easing of Chinese import of oil. Even the Baltic's main sea freight index eased its losing streak, rising about 1.4% by the time the week ended. Yet, the seeming supply of tonnage has maintained itself through the course of the week as sub-continent ship recyclers have certainly had their share of (still slim) pickings to negotiate on at the bidding tables.

And although a slightly disappointing local port position earmarks the end of Week 51, it still remains a more encouraging end to the year that has left recycling markets in an overall more bullish mood heading into Q1 2025 – seeking to negotiate on and absorb the incoming flow of tonnage of some seriously aged beauties. Moreover, despite prices cooling from the peaks over USD 600/LDT down to USD 450s/LDT over the last 11 months alone, after weeks of abstaining from the lower levels, both ship owners and cash buyers are finally comfortable / willing to offer vessels back into the market at these now acceptable lower numbers being tabled. While 2025 is gearing up to be a big year from a safe / green recycling regulation stand point, as the Hong Kong Convention is finally set to enter into force and ship recycling yards at all of the major ship recycling destinations will need to be compliant and operate in line with the guidelines of the convention, in order to continue taking in the vast array of vessels that will eventually come available for a recycling sale. India has a majority (if not all) of its ship recycling yards already HKC compliant, and Bangladeshi recyclers are still recovering through their economic meltdown and trying to work towards having most of their yards compliant by June 2025. Pakistan, however, lags far behind with not even a single yard HKC compliant, amidst desperate calls for the upgrade process to now start, in order not to be left too far behind the plate. Finally, Turkey at the far end continues suffering through its fundamentals collapse for over 3 years now.

Overall, as elections will likely come to an end by Q1 2025 in Bangladesh as well, with some stark shifts in regime and power playing out this year, in the USA as well with President Trump winning another 4 years and PM Modi regaining a majority in India in November, the future is certainly a cautionary tale. As supply is expected to gain momentum once the ongoing sanctions are in place and businesses adapt to the post-sanction world once the fallout is known, 2025 may end up being a comparatively resurgent year to 2024, if not besting it.

GMS demo rankings / pricing for week 51 of 2024 are on Page 5.

BANGLADESH

Return to form?

Year of upheaval.

The Bangladeshi economy is gradually crutching its way through a recovery phase and local confidence certainly was elevated this week, on the back of the news that a U.S.D. 500 million budget support loan in order to greatly boost domestic reserves at a time the country is in desperate need of financial support and recovery through a year of unrelentingly negative outcomes. The government is expected to sign the agreement within next week, further delivering a message that a characteristic January firming may still be on the charts, at least for Chattogram Choppers.

As reports of construction projects are yet to come forth, news of stalled trading of steel continues to haunt domestic recyclers as demand from steel mills remains stranded on the back of flailing domestic demand. As demand from local ship recycling yards consequently stalls coupled with the lack of available U.S. Dollars for domestic recyclers, has resulted in most of the plots lying empty for a majority of the year.

Volumes low.

The lack of ship's steel trade has also seen local steel plate prices remain stranded at a weak-ish USD 521/Ton, leaving the ceiling of local offerings constricted to how far recyclers are willing to bite into their margins, just to keep their yards operational through a time so many others are still functioning at or below desired levels of output. The U.S. Dollar too continues to dance vigorously around late BDT 119s, managing to stay just above BDT 120 against it, ending the week at a slightly optimistic (compared to last week) BDT 119.47. This is finally starting to see local offering finally take a hit as indications maybe taking a hit. Time will tell.

Demand return.

This reluctance from domestic recyclers handicapped with prices capped at current steel plate levels is once again seeing no news of market or even private sales being committed to Chattogram, resulting in a waterfront that could likely deliver an empty port position next week, as the only activity at the waterfront were deliveries of last week's arrivals to their respective Choppers and no new arrivals indicated at anchorage for this week.

Notwithstanding, with the economy gradually on the mend and domestic reserves looking to get a healthy boost for the interim (at least carry the economy until the country's national elections are concluded), domestic sentiments remain eager and recyclers are on the lookout for tonnage, amidst a relative return to form has been seen from this market as we approach the end of this year, despite it being a year of upheaval and concern for the country and in turn for Chattogram's ship recycling sector. The volumes available for sale have also been at the lowest level in the last decade and yards have been wisely spending their time upgrading their infrastructure facilities during this period of slowdown, so much that class NK have thus far approved 4 facilities in Chattogram in 2024, with more set to follow before the HKC kicks into gear around mid-year.

NO MARKET SALES REPORTED

INDIA

LACKING TONNAGE!

Despite India standing in a position to easily take first place on the market rankings on the back of a firming demand, many yards in Alang have partially shut down due to crippling levels of supply and reduction in the overall levels of recycling activity witnessed during the year, for the right vessel(s), the demand from Alang buyers has seen levels being driven into the high USD 400s/LDT and even above, on select, specialist / NF rich units, all in the face of local steel plate prices that remain stranded so far below where local offerings stand today.

Demand good.

Moreover, with an unfavourable election outcome for the pro-business PM Modi, perhaps the biggest shock for the nation this year came from the performance of the Indian Rupee, which saw it lose another 17 basis points, inching its way ever closer to Rs. 85, ending at Rs. 84.96. Of note, the Indian Rupee, like the Bangladeshi Taka, remained volatile throughout the week, even repeatedly spiking briefly to a record Rs. 85.31.

Not plain sailing.

Yet, inflation remains levelled at moderately acceptable levels, leaving the Indian government with an overall optimistic outlook for the near future, especially with the Modi Government garnering additional seats in Congress via a victory in the key state of Maharashtra. This momentum in positivity saw another fixture being concluded to Alang recyclers as the fire damaged / undertow bulker TRUE CONFIDENCE (8,766 LDT) managed to fetch a decent USD 353/Ton with about 650 Tons of IFO and about 180 tons of MGO onboard at the time of arrival.

With the year end approaching rapidly and the festive moods setting across the world, deals might remain fewer than the marginal collective witnessed of late, even though Alang's local port position remained the busiest in the industry, with only a couple of new arrivals and deliveries reported for the week, and Indian recyclers, with their HKC accreditations in hand, approach Q1 2025 on a better prepared note.

Economic woes.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
TRUE CONFIDENCE	Bulker	8,766	USD 353/LT LDT (with 650 Tons IFO and 180 Tons MGO onboard)

PAKISTAN

STRUGGLES!

Falling behind.

Pakistan's struggles continue unabated amidst the nation's ongoing economic downturn as the shortage of U.S. Dollars has left them not only struggling to negotiate effectively for tonnage at the bidding tables, but they have failed to obtain the necessary funding to arrange for infrastructure upgrade projects at their respective yards, so as to upgrade them and meet the deadline to operate in accordance with the guidelines of the HKC within 2025.

The lack of market sales has corresponded with an empty port position that has remained devoid of any arrivals / deliveries for over 2.5 months now. This is seeing an increasing number of yards and recyclers go quiet over the recent months, as dormancy takes a hold and ongoing operability of the yards once again comes into question.

Minimal vessels.

Whilst still awaiting to clear the queries surrounding the misappropriation of USD 400 Million of previous funding, IMF's upcoming loan hangs in limbo, as do hopes of this market returning to the bidding tables and that too in form, seems like a fading possibility.

Fundamentals too aren't dishing out their share of support to the local mindset as not only has the otherwise dormant local steel plate price record a decline to the tune of USD 8/Ton this week, but it has also further put downward pressure on the already disheveled state of local offerings. The Pakistani Rupee too reported minimal movement during the course of the week, as has come to be expected of the nation's currency.

Time for action.

How will local recyclers manage dip back in and fill plots remains an mystery unto itself, especially as Indian levels continue to firm and domestic pressures push local offerings down, remains to be seen in Q1 2025. For now, let's hope this market finally starts overhauling facilities once the next tranche of financial aid package gets delivered to the nation, so that Gadani's' ship recycling fraternity can fall in line to operate withing the guidelines of the HKC, else the industry risks becoming obsolete.

NO MARKET SALES REPORTED

TURKEY

Frozen!

With the onset of Christmas next week, Turkey seems to have frozen in time with no change reported in import or local steel plate prices, along with local levels or interest in none of the units that are on offer. The Lira however, lost 70 basis points and closed the week at a whopping TRY 35.20 against the U.S. Dollar.

Grim end.

Although news of a recent private sale to one lucky local recycler did make the rounds, it still going to be a grim end to the year for Aliaga.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 51 of 2024, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	470 / LDT	490 / LDT	500 / LDT
2	India	**Stable**	460 / LDT	480 / LDT	490 / LDT
3	Pakistan	**Stable**	450 / LDT	470 / LDT	480 / LDT
4	Turkey	**Down**	310 / LDT	320 / LDT	330 / LDT

MORE AWESOMENESS.

- *Mercury is the only metal that is a liquid at room temperature.*
- *Contrary to popular belief, the Great Wall of China is not visible to the naked eye from the Moon.*
- *The peculiar smell of coins held in your hand actually comes from your skin.*
- *The record for speed-climbing the 1,576 steps of the Empire State Building in New York City is 9 minutes, 33*
- *seconds.*
- *Some experts claim that when we sneeze, every bodily function ceases—even the heart stops beating!*
- *Just like their fingerprints, every person's tongue print is unique.*
- *It takes 14 muscles to smile, and 43 muscles to frown.*
- *Honey contains fewer calories than sugar.*
- *Bees have no ears. They perceive vibrations thanks to the hairs all over their bodies.*
- *The popular belief that humans only use 10% of their brains is false. We use all parts of our brains, just not all at*
- *the same time.*
- *The strongest muscle in the body, relative to its size, is the tongue.*
- *It took a total of 214 crates to ship the Statue of Liberty in pieces from France to the United States.*
- *Cleopatra wasn't Egyptian; she was of Greek origin.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
December 24 – December 26 – Christmas Holidays December 31 – New Year's Eve	December 12 – December 20 December 29 – January 06 January 11 – January 18

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
December 16 – Victory Day December 25 – Christmas Day December 31 – Bank Holiday	December 14 – December 17 January 02 – January 05 January 15 – January 18

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until 2025	December 25 – Quaid-e-Azam Day December 26 – Day after Christmas	**No holidays until 2025**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of December 20, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bereg Mechty (Under Tow/Arrested)	7,263	Reefer	Arrived August 26
2	*Boss 7*	*4,713*	*General Cargo*	*Delivered December 14*
3	*MSC Augusta*	*8,800*	*Container*	*Delivered December 14*
4	Prince 4	2,860	Bulk Carrier	Arrived December 16
5	*Tanto*	*4,218*	*Container*	*Delivered December 14*
Total Tonnage		**27,853**		

CHATTOGRAM - Port Position as of December 20, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Asia 10*	*2,413*	*General Cargo*	*Delivered December 18*
2	*Coral (Under Tow)*	*30,193*	*Gas Carrier*	*Delivered December 15*
Total Tonnage		**32,607**		

GADANI - Port Position as of December 20, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
No new vessels reported				
Total Tonnage		**-**		

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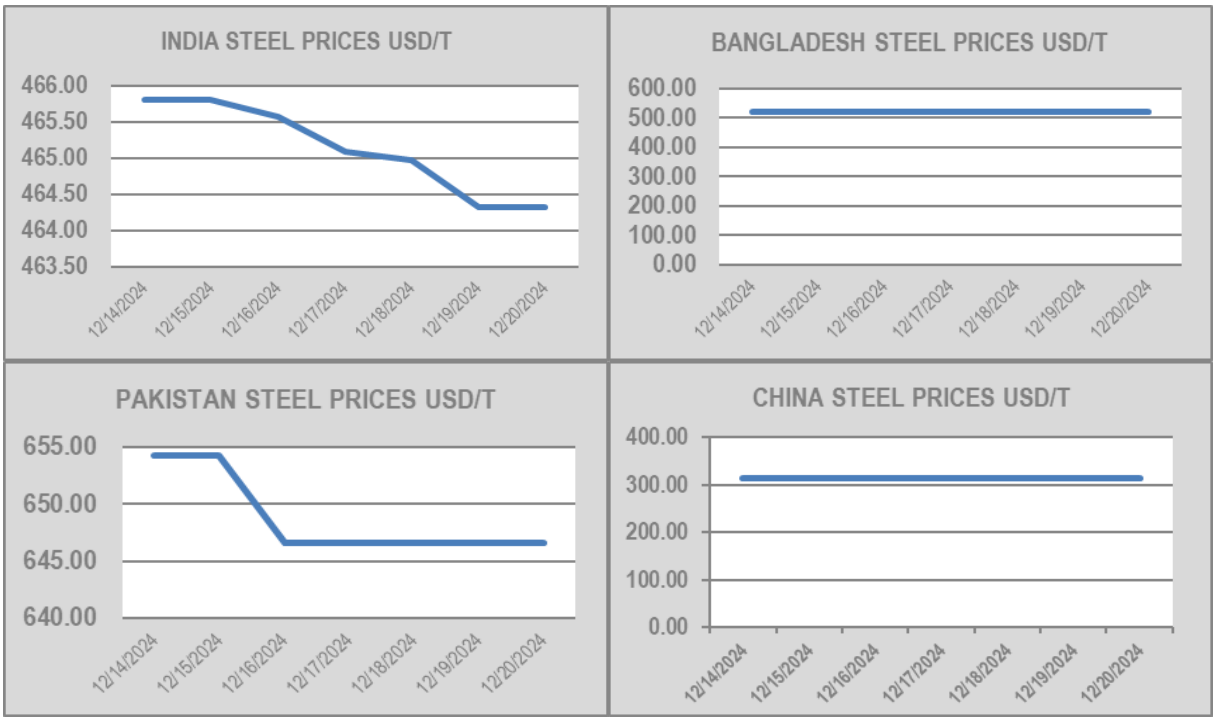
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/14/2024	465.80	39,500.00	654.21	182,000.00	521.01	62,000.00	315.22
12/15/2024	465.80	39,500.00	654.21	182,000.00	521.01	62,000.00	315.22
12/16/2024	465.58	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/17/2024	465.09	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/18/2024	464.98	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/19/2024	464.32	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/20/2024	464.32	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22



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